

For all such complex scenarios where you have a varied kind of investments and withdrawals over multiple periods of time, we will use the IRR method to calculate the IRR for Reliance mutual funds at the end of 2010 and then compare it with the rate of return from UTI mutual funds to make a decision for 2011.

Step 1

Open up a Microsoft Excel spreadsheet and enter the annual investments in one column with a negative sign (indicating outflow of money), as shown in Figure 2.1.

Mutual Funds	
Investment	
Year	Amount
2007	–6,000
2008	–20,000
2009	–30,000
2010	–12,000

Fig 2.1: *Step 1 for Solution 4*

Step 2

Assume that you will sell off the entire mutual fund portfolio today. Enter the current value of the total invested amount to date in the last cell in the same column with a positive value (indicating inflow).

Mutual Funds	
Investment	
Year	Amount
2007	–6,000